estimates show that India's urban population grew by about 23 per cent between 2014 and 2024, compared with the global average of 8.4 per cent. Today, 37 per cent of Indians live in urban areas, a share projected to rise to 40 per cent by 2030, driven by migration and the expansion of cities. Yet, housing for low- and middle-income groups and economically weaker sections has failed to keep pace.

The UN-Habitat's World Cities Report 2026 highlights a sharp decline in affordable housing across major cities. In India's eight largest cities—Mumbai, Delhi-NCR, Bengaluru, Kolkata, Chennai, Hyderabad, Pune and Ahmedabad—affordable housing accounted for nearly 52 per cent of new supply in 2018 but dropped to just 15 per cent by 2026, according to Knight Frank. Meanwhile, the share of homes priced at Rs 1 crore and above rose from 14 per cent to over 62 per cent.

In absolute terms, only 28,102 of the 187,350 homes launched in the first half of 2026 across these eight cities were in the affordable segment. Most new launches—116,157 units—were priced above Rs 1 crore, while another 43,090 fell in the Rs 50 lakh to Rs 1 crore bracket. With urban India facing a shortage of 9.6 million affordable homes, the country is on track to add barely 56,000 such units this year, leaving the deficit virtually unchanged at about 9.54 million homes. Knight Frank also notes that the supply-to-demand ratio plunged from 1.05 in 2019 to just 0.36 in 2025.

PRIVATE SECTOR EXIT

This is not to say there were no sincere efforts. They were simply too small to meet the scale of the challenge or lacked long-term planning and sustained execution. Over the years, the government has launched several schemes to boost the supply of affordable housing. For instance, PMAY-U 1.0, introduced in 2015, has delivered 9.9 million homes for the urban poor and middle class across India. The scheme offered upfront interest subsidies on home loans, making EMIs more affordable for economically weaker sections, low-income groups and middle-income groups. While it had its own challenges, such as implementation delays and hurdles in slum rehabilitation, the programme, whose first phase ended in March 2022, is generally deemed successful. The Centre has since launched PMAY-U 2.0 for 2024-29, which provides interest subsidies on home loans through an instalment-based mechanism to make long-term repayments more manageable.

However, these measures have not been enough. "The PMAY scheme is not adequate to address the needs of this segment," says Niranjan Hiranandani, chairman of the Hiranandani Group. A large part of the affordable housing gap could have been bridged through greater private sector participation. But they have gradually lost interest, due to a host of factors that include scarce and expensive urban land, soaring construction costs, thin margins and regulatory hurdles that inflate costs and delay projects. "Affordable housing is not for private developers. Our governments are not invested in helping that segment," says Jerry Rao, former tech entrepreneur and founder of Value and Budget Housing Corporation (VBHC), an affordable housing venture. "We require the same number of approvals as a premium house, and the cost and time delays are the same. There is no support at all for affordable housing on the supply side. The Real Estate Regulatory Authority (RERA) has not helped. It has just added one more layer of approval."

No wonder, several developers that once focused on affordable housing have either exited the segment or shifted to premium projects. "All of VBHC's new six or seven projects are Rs 1 crore projects," says Rao. Tata Housing, which has completed 27 affordable



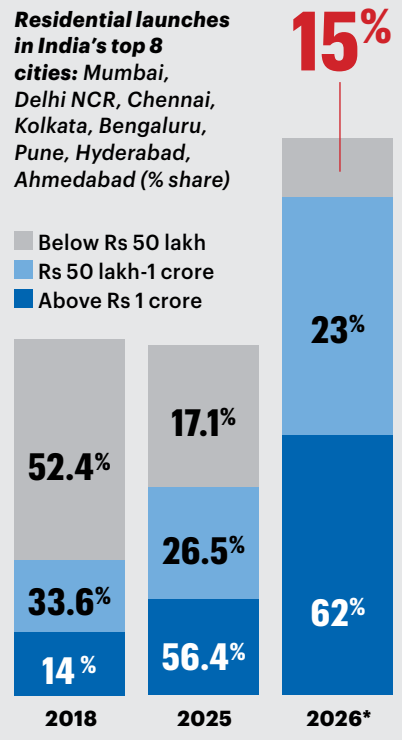
"The PM Awas Yojana is not adequate. There should be some sort of subsidy like the stamp duty and development charges concessions that the Maharashtra govt had allowed during COVID"

NIRANJAN HIRANANDANI, *Chairman, Hiranandani Group*

THE VANISHING BUDGET HOME

Once dominant in new launches, affordable housing has lost share to the mid-range and premium segments

Residential launches in India's top 8 cities: *Mumbai, Delhi NCR, Chennai, Kolkata, Bengaluru, Pune, Hyderabad, Ahmedabad (% share)*



*Source: Knight Frank; *Data for Jan.-Jun.*